

Hedge Funds, written by veteran hedge fund manager Robert A. Jaeger (New York: McGraw-Hill, 2002).

INVESTING IN COLLECTIBLES

Investing in collectibles can be financially rewarding and an enjoyable hobby. Traditional collectibles include fine art, coins, stamps, gems, documents, antiques, and other such objects. However, profitability is not limited to traditional collectibles. Any rare or unusual item can be a better investment than a fine oil painting by a well-known artist.

There are a few disadvantages to investing in collectibles. The cost of acquiring, storing, and insuring the items can be high, and that takes away from long-term returns. In addition, the capital gains tax rate on collectibles is higher than it is for common stocks.

There are also limitations to investing in collectibles. Expertise is required in the items being collected, as well as a passion for details. If you do not have expertise, you would need to hire a professional consultant, which can add considerable cost. Another disadvantage of collectibles is that they can be illiquid assets. When you want to sell, there is not always a willing buyer at a fair price. You need to find a liquid market for buying and selling. Online auction companies such as eBay have helped tremendously in the search for liquidity and fair pricing.

On the positive side, the aesthetic value of collectibles may make up for most of the disadvantages. You can admire your collection with friends, relatives, and other collectors. In many cases, the social benefit from collecting outweighs the monetary benefits.

Collectibles Performance

Tracking the performance of collectibles is difficult at best. Most transactions are between private parties, and prices either are not disclosed or are not compiled in a single database. There are limited indexes that track collectibles.

New York University professors Jianping Mei and Michael Moses have created an index of the long-term return on fine art. The Mei Moses Fine Art Index tracks the sale prices of paintings, drawings, and sculpture auctioned in New York since 1875. [Figure 10-7](#) illustrates the near 60-year